AEGIS BANK

Know Your Customer (KYC) Policy

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

Field	Details
Document Title	Know Your Customer (KYC) Policy
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Approved By	**Sami Khan – Chief Executive Officer (CEO)**

Confidentiality Notice

This Know Your Customer (KYC) Policy is the confidential property of **Aegis Bank**. It establishes mandatory customer identification, verification, due diligence, and ongoing monitoring requirements to ensure compliance with banking regulations and financial crime prevention standards.

Unauthorized access, distribution, or disclosure of this document is strictly prohibited.

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1. Purpose

The purpose of this policy is to establish a comprehensive Know Your Customer (KYC) framework that enables Aegis Bank to verify customer identities, understand customer relationships, assess financial crime risks, and comply with all applicable banking regulations.

This policy supports:

- Prevention of money laundering.
- Prevention of terrorist financing.
- Fraud detection.
- Customer identity verification.
- Regulatory compliance.
- Risk-based customer onboarding.

- Protection of the Bank's reputation.

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2. Scope

This policy applies to:

- Retail Banking
- Corporate Banking
- Business Banking
- Digital Banking
- Wealth Management
- Customer Support
- Branch Operations
- Compliance Department
- Relationship Managers
- Third-party onboarding partners approved by the Bank

Every employee involved in customer onboarding must comply with this policy.

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3. Policy Statement

No customer relationship may be established until the Bank has completed all mandatory KYC verification requirements.

Employees must:

- Verify customer identity.
- Confirm beneficial ownership where applicable.
- Assess customer risk.
- Complete Customer Due Diligence (CDD).
- Apply Enhanced Due Diligence (EDD) when required.
- Maintain accurate customer records.

- Conduct ongoing monitoring.

Failure to comply with this policy may expose the Bank to regulatory penalties and financial crime risks.

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4. Regulatory Objectives

The KYC program is designed to:

- Verify customer identity before account opening.
- Prevent identity fraud.
- Reduce money laundering risks.
- Detect suspicious activities.
- Support AML compliance.
- Protect customers and the Bank.
- Maintain regulatory compliance.

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5. Roles & Responsibilities

Branch Officer

Responsible for:

- Collecting KYC documents.
- Verifying customer identity.
- Completing customer application forms.
- Uploading documentation into the Core Banking System.

Relationship Manager

Responsible for:

- Understanding customer business activities.
- Assessing customer risk.

- Identifying beneficial owners.
- Escalating unusual cases.

Compliance Officer

Responsible for:

- Reviewing KYC documentation.
- Conducting sanctions screening.
- Performing Politically Exposed Person (PEP) screening.
- Approving high-risk customers.
- Conducting Enhanced Due Diligence (EDD).

Branch Manager

Responsible for:

- Supervising KYC compliance.
- Approving operational exceptions.
- Monitoring quality standards.

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6. Customer Identification Program (CIP)

Every customer must be identified using reliable, independent, and verifiable information before an account is opened.

Mandatory information includes:

- Full legal name
- Date of birth
- Nationality
- Residential address
- Government-issued identification number

- Contact information
- Occupation or business activity
- Tax Identification Number (where applicable)

Employees must ensure all information is accurate, complete, and supported by official documentation.

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7. Customer Due Diligence (CDD)

Customer Due Diligence (CDD) helps the Bank understand who its customers are and the nature of their financial activities.

CDD includes:

- Identity verification
- Address verification
- Occupation verification
- Source of funds assessment
- Expected transaction profile
- Beneficial ownership verification (for business customers)
- Risk assessment

CDD must be completed before account activation.

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8. Required Documentation

Individual Customers

Typical documents include:

- Valid Passport
- National Identity Card
- Driver's License (where accepted)
- Proof of residential address
- Tax Identification Number (if applicable)

- Customer declaration forms

Business Customers

Additional documentation includes:

- Certificate of Incorporation
- Business Registration Certificate
- Tax Registration Certificate
- Articles of Association
- List of Directors
- Beneficial Ownership Declaration
- Authorized Signatory List
- Business Address Verification

Incomplete applications must not proceed until all mandatory documents have been received.

End of Part 1

The next section (**Part 2**) will complete the policy with:

- Customer Risk Classification
- Enhanced Due Diligence (EDD)
- Politically Exposed Persons (PEPs)
- Sanctions Screening
- Ongoing Monitoring
- KYC Review Frequency
- Record Retention
- Practical Examples
- FAQs
- Related Documents

- Revision History
- Document Approval

This will complete **AB-OPS-002 – KYC Policy** as a professional enterprise banking document suitable for your Aegis Bank RAG dataset.

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9. Customer Risk Classification

Aegis Bank adopts a **Risk-Based Approach (RBA)** to classify customers according to the level of financial crime and regulatory risk they present.

Risk assessments are performed during onboarding and reviewed periodically throughout the customer relationship.

Risk Categories

Risk Level	Description	Typical Controls
Low Risk	Customers with straightforward identity, occupation, and expected transaction activity.	Standard Customer Due Diligence (CDD)
Medium Risk	Customers requiring additional review due to products, geography, or transaction profile.	Enhanced monitoring and periodic review
High Risk	Customers presenting elevated financial crime or regulatory risk.	Enhanced Due Diligence (EDD), senior approval, and continuous monitoring

Risk ratings shall be reviewed whenever significant changes occur in the customer's profile or banking activities.

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10. Enhanced Due Diligence (EDD)

Enhanced Due Diligence (EDD) applies to customers identified as high risk.

EDD provides additional assurance that the Bank understands the customer's identity, financial activities, and potential risk exposure.

EDD may include:

- Additional identity verification.

- Source of wealth verification.
- Source of funds verification.
- Senior management approval.
- Additional documentation.
- Increased transaction monitoring.
- Periodic compliance reviews.

Account activation shall not proceed until all required EDD activities have been completed and approved.

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11. Politically Exposed Persons (PEPs)

Customers identified as **Politically Exposed Persons (PEPs)** require additional scrutiny due to increased corruption and financial crime risks.

Examples include:

- Senior government officials.
- Members of parliament.
- Senior military officers.
- Senior executives of state-owned enterprises.
- Immediate family members and close associates of PEPs where required by applicable regulations.

PEP relationships require:

- Enhanced Due Diligence.
- Senior Compliance approval.
- Ongoing monitoring.
- Periodic review of customer risk.

PEP status alone does not automatically prevent a customer relationship; however, it requires additional controls.

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12. Sanctions Screening

Every customer must be screened against applicable sanctions and restricted-party lists before onboarding.

Screening includes:

- International sanctions lists.
- Internal watchlists.
- Regulatory enforcement lists.
- High-risk entity databases.

Potential matches must be referred immediately to the Compliance Department.

Employees must never disclose to customers that sanctions or regulatory investigations are being conducted.

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13. Ongoing Customer Monitoring

KYC is an ongoing process and does not end after account opening.

The Bank shall monitor customer relationships to identify unusual or inconsistent activity.

Monitoring activities include:

- Significant transaction changes.
- Changes in customer occupation or business.
- Changes in beneficial ownership.
- Large cash transactions.
- High-risk international transfers.
- Unusual account behavior.
- Dormant account reactivation.

Unusual activity should be reviewed in accordance with the Bank's AML procedures.

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14. Periodic KYC Reviews

Customer information must be reviewed periodically to ensure accuracy and completeness.

Recommended review frequencies:

Customer Risk	Review Frequency
Low Risk	Every 36 months
Medium Risk	Every 24 months
High Risk	Every 12 months or sooner if risk indicators change

Additional reviews may be initiated whenever significant changes occur in customer information or transaction patterns.

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15. Record Retention

All KYC documentation must be stored securely in accordance with Aegis Bank's Information Security and Data Retention Policies.

Records include:

- Customer identification documents.
- Proof of address.
- KYC forms.
- Customer Due Diligence records.
- Enhanced Due Diligence documentation.
- Risk assessment reports.
- Beneficial ownership records.
- Approval records.

Retention Period

KYC records shall be retained for **a minimum of seven (7) years** after the customer relationship ends or longer where required by applicable laws or regulatory obligations.

Only authorized personnel may access customer KYC records.

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16. Policy Exceptions

Any exception to this policy must:

- Be documented.
- Include a business justification.
- Receive written approval from the Compliance Department.
- Be recorded for audit purposes.

No employee may bypass mandatory KYC requirements without formal authorization.

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17. Practical Examples

Example 1 – Standard Individual Customer

A customer applies for a Personal Savings Account and submits:

- National Identity Card
- Proof of Address
- Completed Application Form

Identity verification, Customer Due Diligence, and sanctions screening are completed successfully.

Outcome

The customer is classified as **Low Risk**, and the account opening process proceeds.

Example 2 – Business Customer

A company applies to open a Corporate Account.

The Bank verifies:

- Certificate of Incorporation.
- List of Directors.
- Beneficial Ownership Declaration.
- Authorized Signatories.

- Business Registration.

Outcome

Customer Due Diligence is completed, beneficial ownership is confirmed, and the account is approved after Compliance review.

Example 3 – Politically Exposed Person

A customer is identified as a former senior government official.

Correct Action

The customer is classified as **High Risk**, Enhanced Due Diligence is performed, senior Compliance approval is obtained, and the relationship is subject to ongoing monitoring.

Example 4 – Expired Identification Document

During onboarding, the employee discovers that the customer's identification document has expired.

Correct Action

The application is placed on hold until a valid government-issued identification document is provided.

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18. Frequently Asked Questions (FAQs)

Q1. Can an account be opened before completing KYC?

No. Mandatory KYC requirements must be completed before any customer relationship is established.

Q2. What happens if customer information changes?

Customers should promptly update their information. The Bank will review and update KYC records as required.

Q3. When is Enhanced Due Diligence required?

EDD is required for customers classified as high risk or when regulatory requirements dictate additional verification.

Q4. How often are KYC records reviewed?

Review frequency depends on the customer's risk classification, with more frequent reviews for higher-risk customers.

Q5. Who approves exceptions to this policy?

Only authorized personnel within the Compliance Department may approve documented policy exceptions.

Q6. What should I do if I suspect false information?

Suspend processing where appropriate, document the concern, and immediately notify the Compliance Department for further investigation.

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19. Related Documents

This policy should be read together with:

- Account Opening SOP (AB-OPS-001)
- Anti-Money Laundering (AML) Policy (AB-OPS-003)
- Customer Privacy Policy (AB-COMP-002)
- Information Security Policy (AB-SEC-003)
- Data Classification Policy (AB-SEC-005)
- Code of Conduct (AB-HR-004)

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20. Revision History

Version	Date	Description	Author
v1.0	January 18, 2026	Initial Release	Compliance Department
v1.1	April 22, 2026	Updated Customer Due Diligence and Risk Classification Requirements	Compliance Department
v1.2	**July 24, 2026**	**Enhanced Enhanced Due Diligence (EDD), PEP Controls, Ongoing Monitoring, and Record Retention Requirements**	**Compliance Department**

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21. Document Approval

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